

Interview with our CEO



2024 WAS A YEAR THAT CONFIRMED
THE STRENGTH OF THE BRAND AND THE
POTENTIAL OF THE COMPANY

Björn, 2024 was spectacular in so many ways. How do you reflect on the past year?

2024 was a year that confirmed the strength of the brand and the potential of the company. The turnaround in front of the consumer happened quicker than we had even hoped for, which shows the enormous power that this brand has. It was a busy year and it was a year where our people did a fantastic job. But then we also know that we are not at the end of something. We are just at the beginning.

Looking back at the summer of sports, what was your favorite moment?

That's difficult! When we started the year, we said that 2024 would be the year of sports and I think it was as good as we expected it to be. The Euro ended up being a fantastic event from the atmosphere of the German people and with fans from all over the world. Stadiums were full. A great tournament and also great for us. Just think of what we did with the German team, with the pink away jersey but also with the home jersey! And all the fantastic activations we did, especially in Berlin. And then we went to Paris. There was a lot of negativity before the games and then it ended up probably being the best Olympic and Paralympic Games ever. Full stadiums, great atmosphere and unique facilities. This summer showcased how important sport is, building bridges and bringing happiness to people. It makes me proud to be part of it and shows how important adidas can be for people. A great year for sports.

2024 was equally exciting on the product side with several adidas franchises making big waves. What was your favorite product last year?

There is too many to just name one. We started to turn around the brand with Originals, with what people now call Terrace or T-toe. First Gazelle, then Samba and Spezial, and we further extended that into Campus and SL72 – all shoes that carry the heritage of the brand. But then when you see what we did in Football, with Predator and F50. What we did in Running, with the Adizero Evo, the Adios Pro 4, and the Evo SL. If you look at our Anthony Edwards signature line in Basketball. It's now so many products that are competitive that we can be competitive in all the categories. We definitely have the pipeline we need to further increase distribution and, with the right marketing, achieve strong sell-throughs. Putting Performance and Lifestyle together, the way we have done it in Football by using the Trefoil on the third jerseys and then build a soccer culture collection around it is very unique. Bringing the past and the present together to create culturally relevant products and stories that come out of sport is something that not many brands can do. We can do it very well and we're just at the beginning of it.



While Terrace and Campus are still very popular, you have significantly evolved the Lifestyle offering beyond this over the past seasons. What has changed over the past 12 months?

When we brought back Terrace with the Samba, the Gazelle and the Spezial, we brought back a look that made people reconnect with adidas. It was what we needed to get our product on the cool people to make the brand visible. I think the way we then extended it into Campus and also SL72 worked well and showed that the brand is trending. We have a great setup of classics that people will recognize as franchises when we are heating them up. Now we have Megaride, ZX and Climacool coming, in addition to upcoming silhouettes that haven't been in the market before. Of course, you can't be successful with every new launch in Lifestyle, but I'm not worried about that at all. And then, we have the Superstar. The Superstar is maybe most important in the US, where we're introducing it as we speak. There will be a lot of activations, from Pharrell to Run DMC. The important thing is that, driven by our momentum, we get more space in retail so that the brand is visible across more categories, both in Lifestyle and Performance. I think for 2025 we are in very good shape already. Now we need to make sure that we also have extensions of what we're doing into 2026 and beyond. We have all the tools and all the resources we need to do that very successfully.

Are you happy with how the brand now shows up on the Performance side, too?

I'm happy with what we see in the showrooms and what we have in the pipeline. Of course, I'm not happy yet with the way we show up in the trade everywhere, I would love for our products to be more visible. But that is also normal. You can't create brand heat and sell through in all categories at the same time. But I'm very happy with the progress, knowing that we need to build more distribution and visibility, and that is of course different from market to market, especially on the Performance side. This attitude of going into the market with what is relevant for the local consumer is very important for us. I think we now have the right people in the markets and the right product pipeline. Now we just need to make sure that we adjust to the different needs in the markets and build even better relationships with the trade. That's what it is all about.

You have called adidas a global brand with a local mindset. What exactly does this mean and how do you balance global vs. local?

The days where you can build a global collection out of one center and sell it everywhere are over. You clearly see differences today, especially between Europe, the US, and China, but also in the other markets. Global brand with a local mindset means that we need a global vision for the brand - what categories should we be in, what technologies, what innovation, what do we want to stand for? But then we also have to ensure products and marketing are relevant in each market. We want to use the strength of being global, with so many resources in sports marketing and in innovation, but then cater for the local needs with very good local teams that have the authority to do what is relevant in their market. And if we can formalize some of this mindset in our processes and our go-to-market approach, it will make many things easier. Because right now we have to break a lot of internal rules to get there. But we definitely have the right attitude and the right people.



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During the past year, the brand has also signed many new partners as well as extended several high-profile contracts. What do all those teams and athletes have in common?

We have now some 5,500 partners worldwide, which shows you the enormous depth and breadth in our partnerships. Also here, we need the right combination: We have to make sure we have some global stars that give us global brand authenticity. In addition to that, we need people in the different markets that know which partners are relevant locally, which can change over time. As someone working at the headquarter, you should not believe you know what's happening in all the markets. The importance of having good and relevant individuals and teams everywhere is crucial. We have all the resources. We just need to continue to use them better and better.

You are personally meeting with many of these partners throughout the year. Was there any one interaction with an individual or team that left a particular lasting impression on you last year?

The privilege of meeting so many interesting and inspiring people makes my job kind of a dream. It's very hard to pick one, but the All Blacks visiting us on our campus, showing their team spirit and this mystique about why they perform so well and how they treat each other, was very touching and very motivating for me as a person. Going to the Paralympics, meeting many great athletes and seeing the full stadiums in Paris was also very emotional and very impressive. We also had the German Special Olympics team here on our campus, living and training here. Their positivity was definitely also a personal highlight. It is a huge privilege to meet so many unbelievably strong personalities, not only in the way they compete, but also outside of sports.

Many brand partners have been featured in the 'You Got This' brand campaign. What does the message mean to you and how does it influence consumers' perception of adidas?

Sports have for a long time been positioned in a way that the only thing is to win. And a lot of campaigns from other brands and maybe even from adidas have been about winning. It was important for us in this complicated competitive world to remove some of that pressure. When the team came up with 'You Got This', I fell in love with it immediately because I think it's so relevant. In the latest chapter, 'Plus One', we showcase athletes together with who is important for them. Having someone that motivates you, supports you, protects you, is something that we all are looking for. And I think it showcases adidas as a sports brand for people that would like to win, but also as a sports brand that understands that even if you don't win, you gain this experience in life and this is something even bigger. Extremely well executed and very adidas.

Behind the scenes, what were the major developments inside the company that you are most proud of?

It's obvious that we are still a people business. And we have many good people, who on their own initiative have made an enormous effort to bring adidas back again. That's something that is very positive to see. I'm proud that we again have an organization that clearly wants to win. And I'm very happy to see that talent is not something that we are missing. We need to continue to support our people so they can be successful in both their functions and in their markets. And that's my job now to give them the support to take adidas back again to be the brand that it should be.

And what were the challenges, internal or external, that you spent the most time and energy on in the past year?

In the beginning it was to convince the retailers that we are back again. Making sure that people believe that we can win again. And then of course, the message that it's better to break some internal rules and get things done than waiting for something to change formally. That can-do attitude is probably what has made adidas a winning company again. But I'm sure it has also frustrated some people, because it creates some chaos. Of course it's always a fine balance, because you can't have too much chaos, but many rules in our organization have been set in a world that doesn't exist anymore. We have come a long way in understanding what's possible and what we are capable of as an organization. Now the task is to simplify the way we work.

Turning ahead, how will 2025 shape up? Anything in particular that you are looking forward to this year?

The task is of course to bring the momentum from 2024 also through 2025. I believe we have the product pipeline and marketing plans to continue to drive brand heat globally. We then need to make sure we go to market with what is relevant locally. If we do that, I am confident that we will get more distribution for our strong product assortment. Of course we don't know what's going to happen in the world from the geopolitical side. But I'm actually very positive for our industry. I think people will continue to do more sports and do more for their health. We also know that people buy running shoes to walk in because it's comfortable. That increasing importance of comfort will continue. And the lifestyle piece of the market is, of course, also a big and growing part of it. When you look at all those three things, I think globally the industry will grow much quicker than some people believe. And if we have a pipeline of product that we think is on trend and we have the attitude of being agile and more local, I cannot see why we should not be successful. As a global brand, we can reallocate resources between markets and go after growth where there is growth. That's what should make adidas the number one brand in many markets going forward.



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MARKETING PLANS TO CONTINUE TO
DRIVE BRAND HEAT GLOBALLY

When you started two years ago, improving the relationship with your retail partners was a key priority. Have you made the progress that you were envisioning back then?

Yes and no. Understandably, it took a while for them to open up to us again. And depending on where in the world you look, that opening up and giving more shelf space to us has happened at different speeds. In our home market in Europe, it was the easiest because we could make our commitment so easily visible. And of course, supplying them with products that they needed to be successful in a difficult marketplace gave them a lot of confidence. It's of course more difficult in the US, given the strong local brands. But also in the US, retail partners have started to believe in us and are now giving us more distribution, we just need to have some patience. I think globally, we now have a reputation among retailers that we are there for them. Our people have the service attitude and are starting to get the sales attitude back again. But of course there are other brands that have more distribution than us, especially in the US. Our goal must be to get more shelf space so we can prove that when we get that, we get better sell through and then build even stronger and bigger partnerships. We definitely aren't at the end of improving relationships and increasing distribution.

You once said that there is literally no retailer around the world where you couldn't double the business with. How far are you in achieving this?

Of course there are retailers today where we have gone from less than 10% share to more than 20%. In that case, doubling again is not realistic. So given what we have achieved over the past two years the statement is probably not true anymore everywhere. But in many, many markets, it's still the same situation. And there is no retailer around the world where we cannot significantly improve our performance, and there are many with which we can still double our share.

Halfway into your path towards being a healthy company in 2026 – what has gone better than expected? And has there been anything that has taken longer than initially anticipated?

The brand has turned positive in front of the consumer quicker than we could have hoped for. As I said many times, sometimes you need some luck and sometimes timing is everything. And then, of course, the effort and attitude of our people have been key as well. I think we are a little bit further ahead than I would have thought when we started two years ago. On the other hand, the world has become even more complicated. If you look at the conflicts and tensions around the world, these are making the world more difficult. But if we have the right attitude and are agile when there are changes, we may even turn this into a competitive advantage for us.

So you are ahead of plan at halftime. What's your halftime speech to your team going to look like? Do you need to change your gameplan for the second half?

The most important thing is not to fall in the trap of being happy with what we have achieved and starting to defend. I think that we need to have that vision to actually be #1 in all markets. We might not achieve it everywhere, but we should have this attitude because there's no rational reason not to. Think of our 75-year history, all the franchises, the pipeline of technologies, the resources and the reach we have as a brand and as a company. We have all the good reasons to be out there in all the markets around the world – maybe with the exception of the US – with the clear ambition of being #1. That will be the halftime speech.

Anything that concerns you, from a personal or a business perspective? How do you deal with the elevated uncertainty that affects us all one way or another?

The worst thing you can do in an organization is not to talk about the issues that are difficult. I think we have created a culture to talk about all these uncertainties. We can talk about everything, the things that work well and also about things that haven't worked. In our industry, not everything that you do will be a success. You will make mistakes, but you need to do many things and that's why you shouldn't stop doing things just because something has gone wrong. And we should not be afraid. Our people have strong personalities and the right attitude to take risks. That's why I'm saying that – if we continue to give them the right frame and the right support – then we are going to be a very, very good company.

How do you personally deal with such a volatile environment and the pressure that it brings along?

I think I have accepted that uncertainty is part of life. When I look at what we have been through just the last five years, there have been things that no one would have imagined to happen. There are always going to be things that are negative or uncertain. But in the bigger scheme of things, I am so lucky working in an industry that has great potential. I am working in a company that has a lot of potential. I've been in rough times, so I don't get worried that easily. I was much more worried when I was 25 than I am now. So it's probably age and experience that make you not feel the pressure that much.

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What are you looking forward to the most this year?

There is no such major sports event in 2025 like last year. And still there are so many fun things to look forward to that I can't mention only one thing. From a business perspective, I look forward to see a continuous improvement in what we do. And I look forward to see our people feeling that they are successful and energized by that. The best thing is to see our people feeling that they're getting things done and seeing them grow because they're successful.